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Conclusion

At Independence, the conceptual framework of policy was developed by Jawaharlal Nehru, B.R. Ambedkar, P.C. Mahalanobis, Pitambar Pant, Sukhamoy Chakravarty and others. This involved a developmental state, and a lead role for the state in the evolution of the country. At the time, it was felt that there was a shortage of capital in India. They also felt that a sophisticated financial system could not be achieved in India, and envisioned a significant role for the state in *supplanting* the private financial system in order to address the problem of missing markets. [1]

We call this the 'Mark 1 strategy'. It induced an early growth acceleration compared with the pre-war data, and then ran into many difficulties. By the 1970s, it was clear that the licence–permit raj was not working well. Central planning induces stagnation.

The conceptual framework of the next phase was developed by Jagdish Bhagwati, T.N. Srinivasan, Manmohan Singh, D.T. Lakdawala, Ashok Desai, Arun Shourie, Montek Ahluwalia, M. Narasimham, Padma Desai, Anne Krueger, I.G. Patel, Raja Chelliah and others. [2] The change in course began with the Janata Party in 1977, and rapidly yielded results in the form of higher growth from 1979 onward. Through the 1980s, there was a gradual process of domestic liberalization, while preserving autarky when it came to the international engagement. The reforms of 1991–2004 gave a big step forward in domestic liberalization of the real economy, in financial reforms and in scaling down autarky. [3]

By this time, a sophisticated financial system started emerging, and the appropriate role of the state shifted from *producing* financial services to